

Kim,

Stacy (Dickson) Granmayeh has reviewed the proposed Master Contract that you drafted for enovate, L.L.C. and I have likewise reviewed the proposed Master Contract that you forwarded to Enron North America Corp.

As I indicated earlier, these contracts are similar to the contract we started with last year in documenting the transaction that was ultimately entered into. I recall providing a copy of our Sample Enfolio Master Firm Purchase/Sale Agreement together with the credit departments requirements which they required in order to enter into the transaction. I am told that those credit requirements relating to triggering events and collateral threshold will also be necessary before Enron North America Corp. can enter into a transaction this year.

Unless I specifically state that a comment relates to enovate or to Enron, these comments relate to both entities.

1. The correct name for enovate is: enovate, L.L.C.
2. Change the Confirming Party in Section 3.12 to Seller.
3. Section 4.1 needs to be altered in such a way to make the verbal agreement of the Parties binding at the time of the phone call. As written, any agreement between the Parties is not binding until a Transaction Confirmation is executed by both Parties.
4. The word "Contract" in Section 5.1.1.b. should be changed to "Transaction".
5. The concept of "Point(s) of Receipt" and "Point(s) of Sale" need to be collapsed into Point(s) of Delivery at which point title and possession is transferred from the Seller to the Buyer. No need for two separate concepts.
6. Delete Sections 6.5 and 6.6 in their entireties.
7. Alter Section 8.3.3 concerning Locked Prices in such a way to make the Locked Prices binding at the time of the phone call; not upon the passage of 48 hours for receipt of confirmation.
8. The term "Commodity Charge Index Adjustment" used in Section 8.1, 8.2 and 8.3 needs to be defined.
9. The first sentence of Section 10.3 should be altered to delete the last phrase ■&of the negligence of the other Party■8 and include the following phrase in its place: ■&the gross negligence, willful misconduct or bad faith of the other Party.■8
10. Delete the phrase ■&(not via facsimile)■8 from the first sentence of Section 12.1.
11. Add the following phrase at the end of Section 15.3: ■& the loss of Buyer■,s Markets; or Buyer■,s inability economically to use or resell gas purchased hereunder.■8

12. Delete the phrase "or Buyer or Seller claims force majeure for a period exceeding seven (7) cumulative days or five (5) consecutive days during the Transaction Term" in Section 16.1.b.
13. Add the following sentence to the end of Section 16.1.e: "Party fails to perform any covenant set forth in this Contract."
14. Delete the third sentence of Section 16.2 in its entirety.
15. Delete Section 16.3.d in its entirety.
16. The Corporate Guarantee in Section 19 should be a payment guarantee not a performance guarantee.
17. With regard to enovate, change "Wisconsin" to "Illinois" in Section 21.5; and with regard to Enron, change "Wisconsin" to "Texas" in Section 21.5.
18. Section 21.7 requires "mutual execution of an appropriate supplemental written Transaction Confirmation" for an effective modification. This conflicts with Section 8.3.3, which does not require execution of a Transaction Confirmation for a Locked Price.
19. Delete Section 22.e in its entirety.
20. In Exhibit A, delete Section 12, Regulatory Contingency, in its entirety.

Please review the foregoing and provide revised contracts to both enovate and Enron for further review in accordance with the foregoing matters.